

**UCHUMI SUPERMARKETS LIMITED**  
1998 ANNUAL REPORT AND ACCOUNTS







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## **COMPANY INFORMATION**

### **BOARD OF DIRECTORS**

Julius Muthamia, Chairman  
Suresh Raichand Shah, Managing Director  
Industrial and Commercial Development Corporation  
Kenya Wine Agencies Limited  
Dr. Eddah Wacheke Gachukia  
Nigel Ralph Pavitt  
Permanent Secretary - Ministry of Trade  
Samuel Onyango Ayodo (Deceased August, 1998)  
Dr. Ernest Muinde Kioko  
Margaret Wambui Kenyatta

### **SECRETARY**

B. K. Murage

### **AUDITORS**

Price Waterhouse  
Rattansi Educational Trust Building  
Koinange Street  
P. O. Box 41968, Nairobi

### **REGISTERED OFFICE**

Uchumi Supermarkets Ltd  
Supermarket Building  
Aga Khan Walk  
P. O. Box 73167, Nairobi

### **REGISTRARS AND TRANSFER OFFICE**

Management Services Division  
ICDC  
Uchumi House  
Aga Khan Walk  
P. O. Box 45519, Nairobi

### **BANKERS**

Kenya Commercial Bank Limited  
Kencom House  
Moi Avenue  
P. O. Box 48400, Nairobi



## **NOTICE OF ANNUAL GENERAL MEETING TO ALL SHAREHOLDERS**

NOTICE IS HEREBY GIVEN that the 20th Annual General Meeting of the Company will be held on Tuesday 15 December, 1998 at the Grand Regency Hotel, Nairobi, at 3.00 pm to transact the following ordinary business:-

1. To confirm the minutes of the previous Annual General Meeting.
2. To receive, and if thought fit, adopt the Accounts for the year ended 30 June, 1998 and the Report of the Directors and that of the Auditors thereon.
3. To confirm the payment of the interim dividend of Shilling 0.70 per share and declare a final dividend of Shillings 3.05 per share in respect of the year ended 30 June, 1998.
4. To confirm the Directors' remuneration for the year ended 30 June, 1998.
5. To elect Directors who retire by rotation and, who being eligible, offer themselves for re-election.
  - (i) Kenya Wine Agencies Limited
  - (ii) Nigel Ralph Pavitt
  - (iii) Julius Muthamia
6. To consider the following resolution, special notice having been received under sections 142 and 160(1) of the Companies Act (Cap 486) of the intention to propose the resolution as an ordinary resolution:

"That PricewaterhouseCoopers be appointed auditors of the company in place of the retiring auditors Price Waterhouse to hold office until the conclusion of the next annual general meeting and that their remuneration be fixed by the directors."
7. To transact any other ordinary business.

**By Order of the Board**

B. K. Murage  
Company Secretary  
16 October, 1998

**NB:** A member entitled to attend and vote at this meeting is entitled to appoint a proxy who need not be a member of the company.



## **ILANI YA MKUTANO WA MWAKA KWA WENYEHISA WOTE**

ILANI INATOLEWA KWAMBA Mkutano mkuu wa ishirini wa kampuni hii utafanywa siku ya Jumanne tarehe 15 Desemba, 1998 katika Grand Regency Hotel, Nairobi saa tisa kamili alasiri kwa madhumuni ya kutekeleza shughuli za biashara za kawaida, zifuatazo:

1. Kuthibitisha kumbukumbu za mkutano wa mwaka uliopita.
2. Kupokea, na itakapo wazwa kuwa bora, kuidhinisha hesabu za mwaka uliomalizikia tarehe 30 Juni, 1998 pamoja na ripoti za wakurugenzi na mahasibu.
3. Kuthibitisha malipo ya mgao wa muda wa Shilingi 0.70 kwa kila hisa na kuamua malipo ya mgao wa mwisho wa Shilingi 3.05 kwa kila hisa, wa mwaka uliomalizikia tarehe 30 Juni, 1998.
4. Kuthibitisha ujira wa Wakurugenzi wa mwaka uliomalizikia tarehe 30 Juni, 1998.
5. Kuwachagua Wakurugenzi wanaostaafu kwa zamu na wakiwa wanastahili, wanajitolea kuchaguliwa tena.
  - (i) Kenya Wine Agencies Limited
  - (ii) Nigel Ralph Pavitt
  - (iii) Julius Muthamia
6. Kufikiria azimio lifuatalo, ilani maalum ambayo imepokelewa katika kifungu cha 142 na 160(1) cha sheria za makampuni (Cap.486) kukiwa na kusudio la kupendekeza kama azimio la kawaida:

“Ya kwamba mabwana PricewaterhouseCoopers wachaguliwe mahasibu badala ya PriceWaterhouse ili washike hatamu hadi baada ya mkutano mkuu wa mwaka ujao na ada yao kuidhinishwa na wakurugenzi”.
7. Kujadiliana mambo mengine yoyote yanayohusu shughuli za Kampuni.

**Kwa Amri ya Halmashauri**

B.K. Murage

Katibu

Oktoba 16, 1998

**Kumbusho:** Mwanachama anayestahili kuhudhuria na kupiga kura kwenye mkutano huu ana haki kumteua mwakilishi kuhudhuria na kupiga kura kwa niaba yake. Mwakilishi huyu si lazima awe mwanachama wa Kampuni hii.



## CHAIRMAN'S STATEMENT

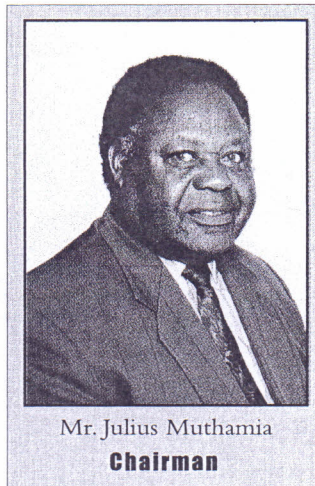
It gives me great pleasure to present to you this year's annual report. The financial year ended 30 June 1998 was a hugely eventful one in that it saw the realization of a major milestone in the development of the Company- the opening of two modern hypermarkets that have introduced to the local retailing sector a new and exciting shopping concept, to which I will make further reference later in this report.

Despite a distinctly challenging trading environment during this last year in which we have all seen a decline in the Kenyan economy (to 2.3% in the first half of the financial year compared to 4.6% in the previous year), the devastating nationwide effects of the El-Nino phenomenon, a dampened demand due to a depressed economy and despite increased competitiveness in the retail sector, the Company achieved record growth in its turnover and profits. Sales increased dramatically following the opening of the two new hypermarkets and costs and shrinkages remained controlled.

More specifically, gross turnover increased by 15% to Shs. 5.968 billion, from Shs. 5.176 billion the previous year, while pre-tax profits for the year rose to Shs. 485.3 million compared to Shs. 364.1 million in 1997, an increase of 33.3%. The effective rate of tax for the year was lower than that in the previous year following the reduction in the corporate rate and various tax

incentives arising from the capital investment incurred during the year. Profit after tax, at Shs. 312.6 million, thus increased by 39% (from Shs. 224.9 million) resulting in earnings per share of Shs. 5.21 compared to Shs. 3.75 for the previous year.

In 1997, the Company paid an interim dividend of 12% followed by a final dividend of 55% making a total of 67% or Shs. 3.35 per share. This year an interim dividend of 14% was paid in June 1998 and the Board now recommends the payment of a final dividend of 61%. This distribution, together with the interim dividend, brings the total distribution to shareholders to Shs. 3.75 per share for the year, representing an 8% increase over last year. The total dividend of 75% places your Company among those with the highest dividend pay out ratios within the sector.



Mr. Julius Muthamia  
**Chairman**

Having said that, the highlight in our year has been the opening of the Ngong Road Hyper branch in mid December 1997 and the Sarit Hyper branch at the end of April 1998. These spacious new Hypermarkets each boast thoroughly modern features, comparable to similar outlets internationally, and are designed to give our customers an attractive yet practical shopping environment. I am confident that the Company is now better than ever poised to take advantage of the opportunities presented by these modern new stores.



## CHAIRMAN'S STATEMENT



Helping a customer make a selection at the delicatessen counter, Uchumi Sarit Hyper.



Inset: Interior view of the wide shopping space and shelves at the Uchumi Sarit Hyper.

Enthusiasm and energy is high among staff and management and we believe we are already focussing our efforts on positioning ourselves as clear market leaders in the next millenium. We will of course continue with our store refurbishment programme and have in mind the creation of yet more modern new stores. More specifically, development plans for a third hypermarket have reached an advanced stage.

Finally, the outstanding financial results are a manifestation of the abilities of your Company's management in these times of economic uncertainty. In particular I would like to pay tribute to the commitment and effort of our Managing Director and in addition to all members of staff. To enable your Company to prepare itself

for the future, we have created a stronger management structure and in the process have relied heavily on internal promotions. I take this opportunity therefore, to congratulate the entire team for their excellent performance. I also wish to thank you all, our shareholders and our esteemed customers, for your continued patronage and support during the year, and let me in return, assure you of our enduring commitment to service excellence.

Julius Muthamia  
Chairman



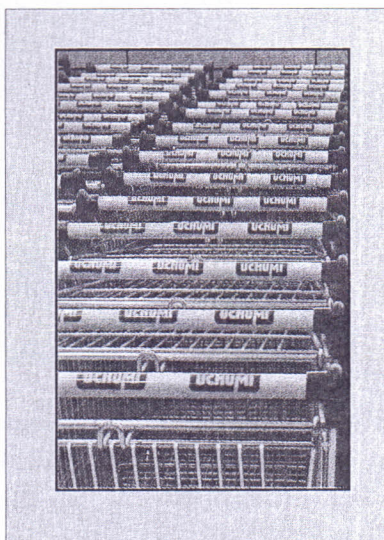
## TAARIFA YA MWENYEKITI

Ni furaha yangu kuwatolea taarifa ya mwaka wa Kampuni yetu. Mwaka ulioisha tarehe 30 Juni 1998 ulikuwa wenye shughuli nyingi kwa vile tuliweza kupiga hatua kubwa katika maendeleo ya kampuni yetu - kule kufunguliwa kwa maduka ya kisasa mawili ambayo yamebadilisha mwenendo wa uuzaji wa reja reja mpya na jambo hili nitaligusia hatimaye katika taarifa hii.

Hata ingawa tuli-kabiliwa na hali ngumu kibiashara katika mwaka huu ambapo kiwango cha ukuaji wa uchumi wa Kenya kilishuka ( hadi asilimia 2.3 kwa nusu mwaka wa kwanza ikilinganishwa na asilimia 4.6 mwaka uliopita) na yale madhara ya mvua ya El-Nino, kupunguzwa kwa mahitaji ya ununuzi kutokana na hali ya uchumi uliodhoofika na pia ongezeko la mashindano ya biashara yetu, Kampuni ilijaliwa kuongeza uuzaji na pia ongezeko la faida. Uuzaji uliongezeka kwa sababu ya yale maduka ya kisasa mawili, upunguzaji gharama na upunguo wa thamani.

Ama kwa hakika, uuzaji kwa jumla uliongezeka kwa asilimia 15 hadi shilingi 5.968 bilioni kutoka Shilingi 5.176 bilioni mwaka uliopita. Faida kabla ya kodi iliongezeka kwa mwaka hadi Shilingi 485.3 milioni

ikilinganishwa na ile ya mwaka wa 1997 ya Shilingi 364.1 milioni, ongezeko la asilimia 33.3. Kiwango cha kodi kilishuka kutokana na kiwango kidogo cha kodi ya uzalishaji rasilimali kilichotumika katika mwaka huu. Faida baada ya kodi ikiwa Shilingi 312.6 milioni iliongezeka kwa asilimia 39 (kutoka Shilingi 224.9 milioni) na hii iliongeza mapato kwa hisa ya Shilingi 5.21 ikilinganishwa na Shilingi 3.75 kwa hisa mwaka uliotangulia.



Katika mwaka 1997, Kampuni ililipa mgao wa muda wa asilimia 12 na kufuatiwa na malipo ya mgao wa mwisho wa asilimia 55 na hivyo kufanya malipo yote kuwa asilimia 67 au Shilingi 3.35 kwa hisa moja. Mwaka huu mgao wa muda wa asilimia 14 ulitolewa mnamo Juni 1998 na halmashauri sasa inapendekeza malipo ya mgao wa mwisho wa asilimia 61.

Mgao huu pamoja na ule wa muda unafanya malipo ya mwaka kuwa Shilingi 3.75 kwa kila hisa, hii ikionyesha ongezeko la asilimia 8 kuzidi mwaka uliopita. Mgao wa asilimia 75 bado unaiweka kampuni yenu kwenye kundi la Kampuni zinazolipa mgao wa hali ya juu katika sekta ya kibiashara.

Baada ya kusema hayo, kinara cha Kampuni yetu mwaka huu ni kule kufunguliwa maduka ya kisasa ya Ngong Road Hyper katikati ya mwezi Desemba 1997 na Sarit Hyper mwishoni mwa mwezi Aprili 1998. Maduka haya mapya yenye nafasi kubwa



## TAARIFA YA MWENYEKITI



An evening exterior view of the ultra modern Uchumi Hyper on Ngong Road, Nairobi.

kilamojawapo yanajivunia miundo ya kisasa, yakilinganishwa na yale ya kimataifa na yameundwa ili kuwapatia wateja wetu mazingara ya kupendeza. Nina hakika ya kwamba Kampuni hivi sasa iko katika hali nzuri kuchukua nafasi yoyote itakayopatikana kutokana na maduka haya mapya. Nia na nguvu zipo za kuendelea Kampuni siku za usoni na kwa ajili hii Kampuni inajizatiti kuelekea miaka ya elfu mbili. Tutaendelea na ubadilishaji bidhaa mara kwa mara na kuanzisha bidhaa mpya za maduka ya kisasa. Hasa, mipango kabambe ya duka la tatu la Hypermarket yamepiga hatua kubwa.

Mwisho, matokeo haya mazuri yanadhihirisha kujitolea kwa wakuu wa Kampuni yenu ikitiliwa maanani hali ya kutatanisha ya

uchumi. Ningetaka kumpongeza Mkurugenzi Mkuu kwa juhudi na kujitolea kwake na wafanyi kazi pia. Ili kuitayarisha Kampuni yenu kwa ukuaji siku zijazo wasimamizi wamekuwa wakipandisha madaraka wafanyi kazi walioko.

Ninachukua fursa hii kuwapongeza kundi la kampuni kwa matokeo mazuri. Pia wanunuzi wa bidhaa zetu kwa fadhili pamoja na kuendelea kununua bidhaa na kutuunga mkono kwa mwaka wote na tunawahakikishia wote ya kwamba tutatia bidii ili kutoa huduma bora zaidi.

Julius Muthamia  
Mwenyekiti



## **DIRECTORS' REPORT YEAR ENDED 30 JUNE 1998**

The directors submit their report together with the audited accounts for the year ended 30 June, 1998 which disclose the state of affairs of the company.

### **PRINCIPAL ACTIVITIES**

The company operates retail supermarkets at the following outlets:-

- Market Branch
- Westlands Branch
- City Square Branch
- City Square - Textile Division
- City Square- Household Division
- Ngong Road Branch
- Kimathi Street Branch
- Sarit Hyper
- Jogoo Road Branch
- Taveta Road Branch
- Langata Branch
- Nakuru East Branch
- Nakuru West Branch
- Eldoret Branch
- Koinange Branch
- Ngong Hyper

### **RESULTS AND DIVIDEND**

The results of the company are shown on page 12.

The directors recommend the approval of an interim dividend of Shs 0.70 per share and a final dividend of Shs 3.05 per share leaving a balance of Shs 87,612,000 to be transferred to revenue reserves.

### **DIRECTORS**

The directors who held office during the year are shown on page 2. In accordance with Article 100 of the Company's Memorandum and Articles of Association, Kenya Wine Agencies Limited, Nigel Ralph Pavitt, and Julius Muthamia retire by rotation and all being eligible, offer themselves for re-election.

### **AUDITORS**

Price Waterhouse continue in office in accordance with section 159 (2) of the Companies Act.

### **By Order of the Board**

B .K. Murage  
Secretary  
16 October, 1998.



## **REPOTI YA WAKURUGENZI MWAKA ULIOMALIZIKIA TAREHE 30 JUNI 1998**

Wakurugenzi wanatoa ripoti yao pamoja na tarakimu ya hesabu zilizokaguliwa za mwaka uliomalizikia tarehe 30 Juni, 1998 ambazo zinaonyesha hali ya kampuni ilivyo.

### **SHUGHULI MAALUM**

Kampuni hufanya biashara rejareja ya masoko maalum katika matawi yafuatayo:

- Market branch
- Westlands Branch
- City Square Branch
- City Square - Textile Division
- City Square - Household Division
- Ngong Road Branch
- Kimathi Street Branch
- Sarit Hyper
- Jogoo Road Branch
- Taveta Road Branch
- Langata Branch
- Nakuru East Branch
- Nakuru West Branch
- Eldoret Branch
- Koinange Branch
- Ngong Hyper

### **MATOKEO NA MGAO**

Matokeo ya Kampuni yanaonyeshwa kwenye ukurasa wa 12.

Wakurugenzi wapendekeza kuidhinishwa kwa malipo ya mgao wa kwanza wa Shilingi 0.70 kwa kila hisa na mgao wa mwisho wa Shilingi 3.05 kwa kila hisa na kuwekwa akiba ya shilingi 87,612,000.

### **WAKURUGENZI**

Wakurugenzi walioshika hatanu za ofisi mwaka huu wanaonyeshwa katika ukurasa 2. Kulingana na masharti ya Kampuni Nambari 100, Kenya Wine Agencies Limited, Nigel Ralph Pavitt na Julius Muthamia wastaafu kwa zamu na wote wakistahili, wanajitolea kuchaguliwa tena.

### **WAKAGUZI**

Price Waterhouse wataendelea na kazi zao za ukaguzi wa kampuni hii kulingana na kanuni katika kifungu cha 159 (2) cha sheria za makampuni.

**Kwa amri ya Halmashauri**

B K Murage  
Katibu  
Oktoba 16, 1998





## **AUDITORS' REPORT TO THE MEMBERS OF UCHUMI SUPERMARKETS LIMITED.**

We have audited the financial statements set out on pages 12 to 19 which have been prepared on the basis of the accounting policies set out in note 1. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and to provide a reasonable basis for our opinion. The financial statements are in agreement with the books of account.

The directors are responsible for the preparation of financial statements which give a true and fair view of the company's state of affairs and its operating results. Our responsibility is to express an independent opinion on the financial statements based on our audit and to report our opinion to you.

We conducted our audit in accordance with Kenyan Auditing Standards. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the company's financial affairs at 30 June, 1998 and of its profit and cash flows for the year then ended and comply with Kenyan Accounting Standards and the Companies Act.

Price Waterhouse  
Certified Public Accountants  
16 October, 1998.



## PROFIT AND LOSS ACCOUNT YEAR ENDED 30 JUNE 1998

|                              | Notes | 1998<br>Shs'000  | 1997<br>Shs'000  |
|------------------------------|-------|------------------|------------------|
| TURNOVER                     |       | 5,968,031        | 5,176,699        |
| VALUE ADDED TAX              |       | <u>355,733</u>   | <u>230,297</u>   |
| NET TURNOVER                 |       | <u>5,612,298</u> | <u>4,946,402</u> |
| PROFIT BEFORE TAX            | 2     | 485,354          | 364,085          |
| TAX                          | 3     | <u>172,742</u>   | <u>139,137</u>   |
| PROFIT AFTER TAX             |       | 312,612          | 224,948          |
| DIVIDEND                     | 4     | <u>225,000</u>   | <u>201,000</u>   |
| RETAINED PROFIT FOR THE YEAR | 6     | <u>87,612</u>    | <u>23,948</u>    |
| EARNINGS PER SHARE           | 7     | <u>5.21</u>      | <u>3.75</u>      |



## BALANCE SHEET AT 30 JUNE 1998

|                                   | Notes | 1998<br>Shs'000  | 1997<br>Shs'000  |
|-----------------------------------|-------|------------------|------------------|
| <b><u>CAPITAL EMPLOYED</u></b>    |       |                  |                  |
| SHARE CAPITAL                     | 5     | 300,000          | 300,000          |
| RESERVES                          | 6     | 437,886          | 350,274          |
|                                   |       | <u>737,886</u>   | <u>650,274</u>   |
| <b><u>REPRESENTED BY</u></b>      |       |                  |                  |
| FIXED ASSETS                      | 8     | 507,934          | 219,366          |
| CAPITAL WORK IN PROGRESS          | 9     | -                | 128,452          |
|                                   |       | <u>507,934</u>   | <u>347,818</u>   |
| <b><u>CURRENT ASSETS</u></b>      |       |                  |                  |
| Stock                             | 10    | 856,711          | 524,999          |
| Debtors                           | 11    | 121,337          | 166,350          |
| Short term deposits               |       | 340,000          | 550,000          |
| Bank balances and cash            |       | 33,730           | 40,503           |
|                                   |       | <u>1,351,778</u> | <u>1,281,852</u> |
| <b><u>CURRENT LIABILITIES</u></b> |       |                  |                  |
| Creditors                         | 12    | 897,778          | 761,425          |
| Tax payable                       |       | 19,048           | 7,481            |
| Dividend payable                  | 4     | 205,000          | 201,000          |
| Bank overdraft                    |       | -                | 9,490            |
|                                   |       | <u>1,121,826</u> | <u>979,396</u>   |
| <b>NET CURRENT ASSETS</b>         |       | <u>229,952</u>   | <u>302,456</u>   |
|                                   |       | <u>737,886</u>   | <u>650,274</u>   |

The financial statements were approved by the board of directors on 16 October 1998, and were signed on its behalf by:

Julius Muthamia : Director  
Suresh R. Shah : Director



## CASH FLOW STATEMENT YEAR ENDED 30 JUNE 1998

|                                                                       | 1998<br>Shs'000  | 1997<br>Shs'000  |
|-----------------------------------------------------------------------|------------------|------------------|
| <b>CASH FLOW FROM OPERATING ACTIVITIES</b>                            |                  |                  |
| Profit before taxation                                                | 485,354          | 364,085          |
| Adjustments for:                                                      |                  |                  |
| Depreciation                                                          | 35,688           | 25,234           |
| Interest received                                                     | (108,600)        | (101,728)        |
| Interest paid                                                         | 325              | 199              |
| Loss on disposal of fixed assets                                      | -                | 17,678           |
| <b>Operating profit before working capital changes</b>                | <b>412,767</b>   | <b>305,468</b>   |
| (Increase)/Decrease in stock                                          | (331,712)        | 40,450           |
| Decrease/(Increase) in debtors                                        | 45,013           | (104,132)        |
| Increase in creditors                                                 | 136,353          | 208,854          |
| <b>Cash generated from operations</b>                                 | <b>262,421</b>   | <b>450,640</b>   |
| Income tax paid                                                       | (161,175)        | (145,140)        |
| <b>Net cash from operating activities</b>                             | <b>101,246</b>   | <b>305,500</b>   |
| <b>RETURN ON INVESTMENTS AND<br/>SERVICING OF FINANCE</b>             |                  |                  |
| Interest paid                                                         | (325)            | (199)            |
| Interest received                                                     | 108,600          | 101,728          |
| Dividend paid                                                         | (221,000)        | (160,000)        |
| <b>Net cash outflow from investments and<br/>servicing of finance</b> | <b>(112,725)</b> | <b>(118,471)</b> |
| <b>CASH FLOW FROM INVESTING ACTIVITIES</b>                            |                  |                  |
| Purchase of fixed assets                                              | (195,804)        | (56,198)         |
| Capital work in progress                                              | -                | (112,268)        |
| Proceeds on disposal of fixed assets                                  | -                | 55,043           |
| <b>Net cash outflow from investing activities</b>                     | <b>(195,804)</b> | <b>(113,423)</b> |
| <b>NET (DECREASE)/INCREASE IN CASH<br/>AND CASH EQUIVALENTS</b>       | <b>(207,283)</b> | <b>133,606</b>   |
| <b>CASH AND CASH EQUIVALENTS AT 1 JULY</b>                            | <b>581,013</b>   | <b>447,407</b>   |
| <b>CASH AND CASH EQUIVALENTS AT 30 JUNE</b>                           | <b>373,730</b>   | <b>581,013</b>   |



## CASH FLOW STATEMENT YEAR ENDED 30 JUNE 1998

|                                                                       | 1998<br>Shs'000  | 1997<br>Shs'000  |
|-----------------------------------------------------------------------|------------------|------------------|
| <b>CASH FLOW FROM OPERATING ACTIVITIES</b>                            |                  |                  |
| Profit before taxation                                                | 485,354          | 364,085          |
| Adjustments for:                                                      |                  |                  |
| Depreciation                                                          | 35,688           | 25,234           |
| Interest received                                                     | (108,600)        | (101,728)        |
| Interest paid                                                         | 325              | 199              |
| Loss on disposal of fixed assets                                      | -                | 17,678           |
| <b>Operating profit before working capital changes</b>                | <b>412,767</b>   | <b>305,468</b>   |
| (Increase)/Decrease in stock                                          | (331,712)        | 40,450           |
| Decrease/(Increase) in debtors                                        | 45,013           | (104,132)        |
| Increase in creditors                                                 | 136,353          | 208,854          |
| <b>Cash generated from operations</b>                                 | <b>262,421</b>   | <b>450,640</b>   |
| Income tax paid                                                       | (161,175)        | (145,140)        |
| <b>Net cash from operating activities</b>                             | <b>101,246</b>   | <b>305,500</b>   |
| <b>RETURN ON INVESTMENTS AND<br/>SERVICING OF FINANCE</b>             |                  |                  |
| Interest paid                                                         | (325)            | (199)            |
| Interest received                                                     | 108,600          | 101,728          |
| Dividend paid                                                         | (221,000)        | (160,000)        |
| <b>Net cash outflow from investments and<br/>servicing of finance</b> | <b>(112,725)</b> | <b>(58,471)</b>  |
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| Capital work in progress                                              | -                | (112,268)        |
| Proceeds on disposal of fixed assets                                  | -                | 55,043           |
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| <b>CASH AND CASH EQUIVALENTS AT 1 JULY</b>                            | <b>581,013</b>   | <b>447,407</b>   |
| <b>CASH AND CASH EQUIVALENTS AT 30 JUNE</b>                           | <b>373,730</b>   | <b>581,013</b>   |



## NOTES TO THE ACCOUNTS YEAR ENDED 30 JUNE 1998

### 1. SIGNIFICANT ACCOUNTING POLICIES

#### Accounting convention

The financial statements are prepared under the historical cost convention as modified by the revaluation of leasehold land and buildings and the calculation of related depreciation.

#### Turnover

Net turnover comprises the amount receivable for goods sold net of value added tax paid in the year.

#### Fixed assets and depreciation

Fixed assets are stated at cost or valuation less accumulated depreciation.

Depreciation is calculated on the straight line basis at annual rates estimated to write off the cost or valuation of each asset over its expected useful life.

The annual rates used are:

|                                    |                              |
|------------------------------------|------------------------------|
| Leasehold land and buildings       | Over the period of the lease |
| Improvements to leasehold premises | 10%                          |
| Furniture, fittings and equipment  | 15%                          |
| Plant and machinery                | 20%                          |
| Motor vehicles                     | 20% and 25%                  |

#### Stock

Stock is stated at the lower of cost and net realisable value. Cost is determined on the first-in-first-out basis and includes only the purchase costs.

#### Deferred tax

Provision for deferred tax is made only when the directors consider that a tax benefit or charge is likely to crystallise in the foreseeable future.

#### Investment in Government Securities

Investment in Government Treasury Bills and Bonds consisting of fixed interest rate issues are carried at the redemption value. Any unearned interest or discount is included in other creditors and credited to income over the period of the issue.



## NOTES TO THE ACCOUNTS (CONTINUED)

### YEAR ENDED 30 JUNE 1998

#### 2. PROFIT BEFORE TAX

|                                                | 1998<br>Shs'000 | 1997<br>Shs'000 |
|------------------------------------------------|-----------------|-----------------|
| Profit before tax is stated<br>after charging: |                 |                 |
| Depreciation                                   | 35,688          | 25,234          |
| Auditors' remuneration                         | 1,900           | 1,650           |
| Directors' emoluments:                         |                 |                 |
| Fees                                           | 400             | 400             |
| Other remuneration                             | 14,369          | 10,265          |
| Interest expense                               | <u>325</u>      | <u>199</u>      |
| And after crediting:                           |                 |                 |
| Interest receivable                            | 117,455         | 100,118         |
| Rents receivable                               | <u>822</u>      | <u>822</u>      |

#### 3. TAX

|                                                                                 |                |                |
|---------------------------------------------------------------------------------|----------------|----------------|
| At 32.5% (1997: 35%) on the profit for the year as<br>adjusted for tax purposes | 162,880        | 139,338        |
| Under/(over) provision in prior years                                           | <u>9,862</u>   | <u>(201)</u>   |
|                                                                                 | <u>172,742</u> | <u>139,137</u> |

All income tax returns due by 30 June 1998 have been filed and all payments due by that date have been made. The directors are not aware of any material dispute with Kenya Revenue Authority affecting the company's liability to tax.

A deferred tax liability amounting to Shs 744,000 (1997: asset Shs 3,239,000) has not been recognised in these accounts because in the opinion of the directors the related timing differences will not reverse in the foreseeable future.

#### 4. DIVIDEND

|                          | 1998<br>Shs'000 | 1997<br>Shs'000 |
|--------------------------|-----------------|-----------------|
| Dividend brought forward | 201,000         | 160,000         |
| Proposed dividend        | <u>225,000</u>  | <u>201,000</u>  |
|                          | 426,000         | 361,000         |
| Paid for previous year   | (201,000)       | (160,000)       |
| Paid for current year    | <u>(20,000)</u> | <u>-</u>        |
|                          | <u>205,000</u>  | <u>201,000</u>  |



## NOTES TO THE ACCOUNTS (CONTINUED)

### YEAR ENDED 30 JUNE 1998

#### 4. DIVIDEND (CONTINUED)

The directors recommend the approval of an interim dividend of Shs 0.70 per share and a final dividend of Shs 3.05 per share amounting in total to Shs 225 million.

Payment of the dividend is subject to withholding tax at the rate of 5% and 10% for resident and non - resident shareholders respectively.

#### 5. SHARE CAPITAL

|                                          | 1998<br>Shs'000 | 1997<br>Shs'000 |
|------------------------------------------|-----------------|-----------------|
| <b>Authorised, issued and fully paid</b> |                 |                 |
| 60,000,000 ordinary shares of shs 5 each | <u>300,000</u>  | <u>300,000</u>  |

#### 6. RESERVES

|                                 | Share<br>premium<br>Shs'000 | Revaluation<br>surplus<br>Shs'000 | Revenue<br>reserve<br>Shs'000 | Total<br>Shs'000 |
|---------------------------------|-----------------------------|-----------------------------------|-------------------------------|------------------|
| At 1 July 1997                  | 129,452                     | 45,834                            | 174,988                       | 350,274          |
| Retained profit<br>for the year | <u>-</u>                    | <u>-</u>                          | <u>87,612</u>                 | <u>87,612</u>    |
| At 30 June 1998                 | <u>129,452</u>              | <u>45,834</u>                     | <u>262,600</u>                | <u>437,886</u>   |

#### 7. EARNINGS PER SHARE

The calculation of earnings per share is based on the profit after tax of Shs 312,612,000 (1997: Shs 224,948,000) and on 60,000,000 shares in issue at 30 June, 1998.



## NOTES TO THE ACCOUNTS (CONTINUED)

### YEAR ENDED 30 JUNE 1998

#### 8. FIXED ASSETS

|                        | Leasehold<br>Land and<br>Buildings<br>Shs'000 | Plant and<br>Machinery<br>Shs'000 | Office<br>Equipment<br>Furniture<br>and Fittings<br>Shs'000 | Motor<br>Vehicles<br>Shs'000 | Total<br>Shs'000 |
|------------------------|-----------------------------------------------|-----------------------------------|-------------------------------------------------------------|------------------------------|------------------|
| <b>Cost</b>            |                                               |                                   |                                                             |                              |                  |
| At 1 July 1997         | 185,423                                       | 28,715                            | 62,300                                                      | 36,607                       | 313,045          |
| Additions              | 132,624                                       | 75,414                            | 101,883                                                     | 14,335                       | 324,256          |
| At 30 June 1998        | <u>318,047</u>                                | <u>104,129</u>                    | <u>164,183</u>                                              | <u>50,942</u>                | <u>637,301</u>   |
| Comprising:            |                                               |                                   |                                                             |                              |                  |
| Cost                   | 212,547                                       | 104,129                           | 164,183                                                     | 50,942                       | 531,801          |
| Valuation              | <u>105,500</u>                                | <u>-</u>                          | <u>-</u>                                                    | <u>-</u>                     | <u>105,500</u>   |
| <b>Depreciation</b>    |                                               |                                   |                                                             |                              |                  |
| At 1 July 1997         | 20,253                                        | 18,527                            | 27,127                                                      | 27,772                       | 93,679           |
| Charge for the year    | <u>5,946</u>                                  | <u>8,374</u>                      | <u>13,376</u>                                               | <u>7,992</u>                 | <u>35,688</u>    |
| At 30 June 1998        | <u>26,199</u>                                 | <u>26,901</u>                     | <u>40,503</u>                                               | <u>35,764</u>                | <u>129,367</u>   |
| <b>Net book amount</b> |                                               |                                   |                                                             |                              |                  |
| At 30 June 1998        | <u>291,848</u>                                | <u>77,228</u>                     | <u>123,680</u>                                              | <u>15,178</u>                | <u>507,934</u>   |
| At 30 June 1997        | <u>165,170</u>                                | <u>10,188</u>                     | <u>35,173</u>                                               | <u>8,835</u>                 | <u>219,366</u>   |

The leasehold land and buildings were valued, at open market value, on 4 January 1992 by Tysons Limited, registered valuers.

#### 9. CAPITAL WORK IN PROGRESS

The capital work in progress of Shs.128,452,000 has been transferred to fixed assets.



## NOTES TO THE ACCOUNTS (CONTINUED)

### YEAR ENDED 30 JUNE 1998

#### 10. STOCK

|                  | 1998<br>Shs'000 | 1997<br>Shs'000 |
|------------------|-----------------|-----------------|
| Food             | 250,583         | 160,828         |
| Non-food         | 536,796         | 334,281         |
| Other            | 9,686           | 7,014           |
| Goods in transit | 59,646          | 22,876          |
|                  | <u>856,711</u>  | <u>524,999</u>  |

#### 11. DEBTORS

|                                    |                |                |
|------------------------------------|----------------|----------------|
| Trade debtors                      | 20,081         | 20,871         |
| Other debtors and prepaid expenses | 90,913         | 86,024         |
| Insurance claims                   | 7,217          | 58,077         |
| Amounts due from affiliates        | 3,126          | 1,378          |
|                                    | <u>121,337</u> | <u>166,350</u> |

#### 12. CREDITORS

|                                      |                |                |
|--------------------------------------|----------------|----------------|
| Trade creditors                      | 783,041        | 670,078        |
| Other creditors and accrued expenses | 106,314        | 88,338         |
| Amounts due to affiliates            | 8,423          | 3,009          |
|                                      | <u>897,778</u> | <u>761,425</u> |

#### 13. CAPITAL COMMITMENTS

Estimated commitments of capital expenditure as at 30 June, 1998 totalled Shs 7 million (1997: Shs 26 million). Capital expenditure authorised but not contracted for at 30 June, 1998 amounted to Shs 425 million (1997: Shs 384 million).

#### 14. MORTGAGE AND DEBENTURES

The company has issued a legal mortgage on certain of its leasehold land and buildings and a floating debenture on its assets in respect of financing arrangements with its bankers.

#### 15. INCORPORATION

The company is incorporated in Kenya under the Companies Act.

#### 16. CURRENCY

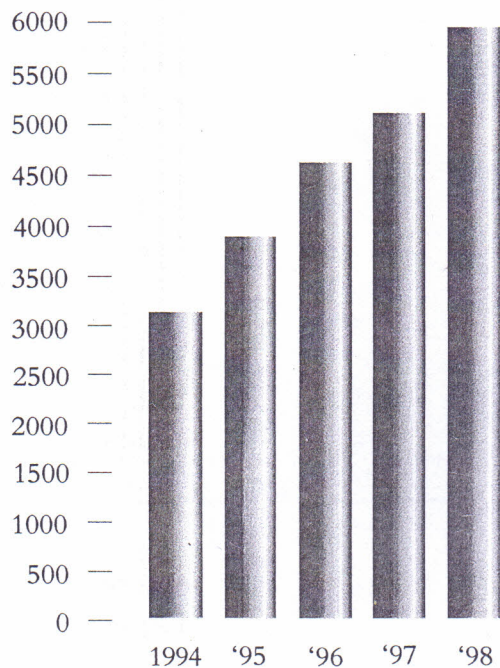
These financial statements are presented in Kenya Shillings (Shs).



## FINANCIAL HIGHLIGHTS

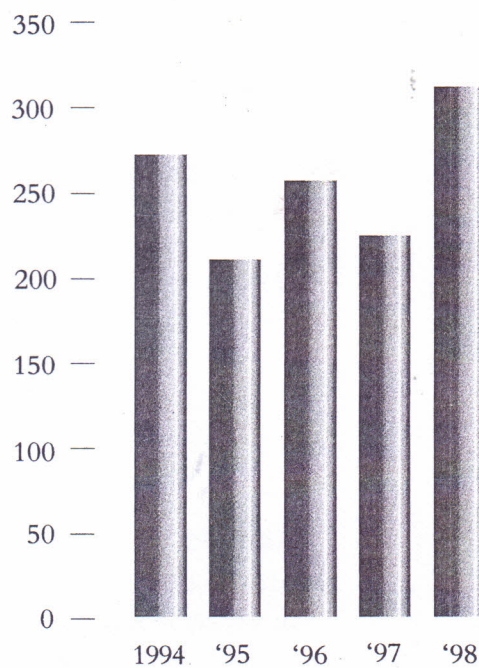
### TURNOVER

(Shs. million)



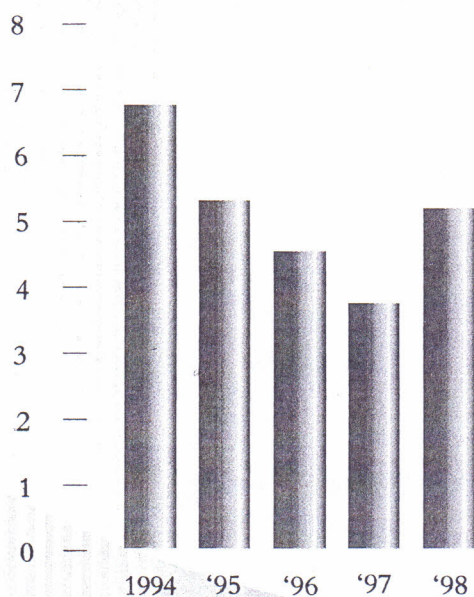
### PROFIT AFTER TAX

(Shs. million)



### EARNINGS PER SHARE

(Shs.)



### SHAREHOLDERS FUNDS

(Shs. million)

